SEMICONDUCTORS · MEMORY

Micron Technology

A record memory cycle, priced as if it never ends. Initiating at SELL, target $284.

- **An extraordinary peak.** AI demand for high-bandwidth memory has created a shortage. We estimate FY2026 revenue of $129.0bn, 3.5x FY2025, with an 80% gross margin (FY2023: −9%).
- **Memory prices mean-revert.** DRAM prices fell 48% in FY2023, the year after the last peak. Our Base case lets prices peak in FY2027 and then fall 45% in FY2028. With cost per bit falling 8% a year, the gross margin settles at 49% by FY2032.
- **Valuation.** The DCF gives $247.10 a share in the Base case (perpetuity growth) and $333.12 using a mid-cycle exit multiple. Weighting Bear / Base / Bull 25 / 50 / 25 gives our $284.13 target, 69.4% below the price.
- **The price needs a boom that never ends.** $927.60 implies 11.1% free-cash-flow growth every year after FY2032, or a 37.7x exit multiple. Even our Bull case is worth $515.
- **Main risk: the cycle runs longer.** Actual FY2026 revenue was $133.2bn and the Q1 FY2027 guidance is $61.5bn for one quarter, both ahead of our estimates (page 7). Each extra $100bn of FY2027 revenue adds about $42 a share.

RATING

SELL

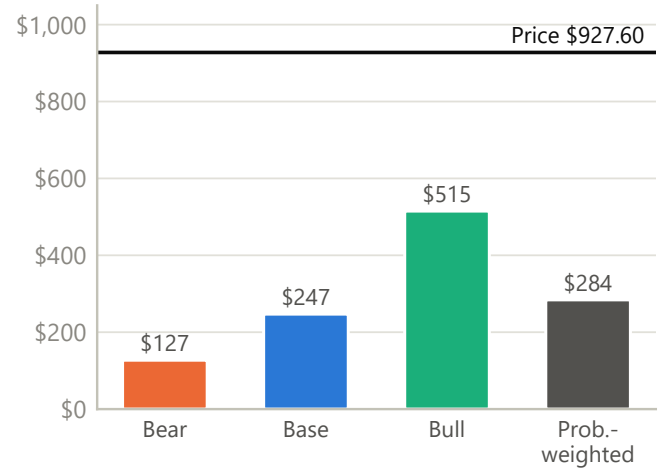
TARGET PRICE	SHARE PRICE
$284.13	**$927.60**
UPSIDE / (DOWNSIDE)	MODEL CHECKS
(69.4%)	**All pass**

Share price (15-Sep-2026)	**$927.60**
Market capitalisation	**$1,047.6bn**
Enterprise value	**$1,001.8bn**
Net cash (FY2026E)	**$45.8bn**
Diluted shares	**1,150m**
WACC	**12.45%**
Adjusted beta	**1.82**
Long-run growth (computed)	**0.97%**
Credit rating	**BBB / Baa2**
Dividend (FY2027E)	**$0.60 (0.06% yield)**
Fiscal year end	**~31 August**

Base-case summary

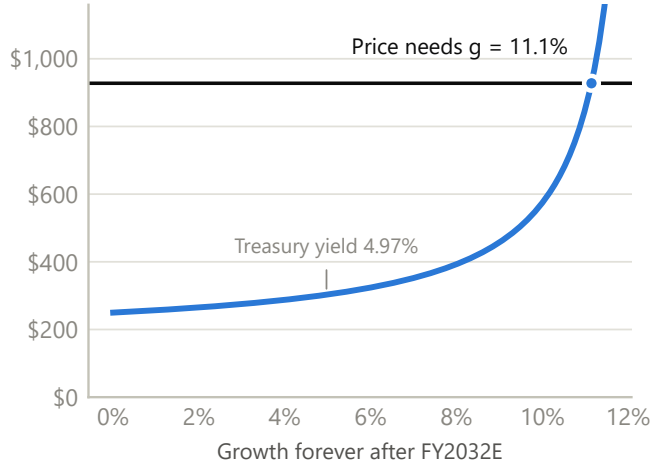
US$ (fiscal years end ~31 Aug)	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2032E
Revenue ($m)	37,378	128,959	145,668	92,135	69,982	69,291
Revenue growth	48.9%	245.0%	13.0%	(36.7%)	(24.0%)	(2.5%)
Gross margin	39.8%	80.2%	82.3%	70.4%	58.1%	49.0%
EBITDA ($m)	18,122	105,878	123,447	70,879	48,618	46,116
EBITDA margin	48.5%	82.1%	84.7%	76.9%	69.5%	66.6%
Diluted EPS ($)	$7.59	$72.06	$84.34	$45.09	$27.78	$22.87
Unlevered FCF ($m)	2,738	42,180	74,252	41,335	22,807	20,519
P / E at $927.60	122.2x	12.9x	11.0x	20.6x	33.4x	40.6x
EV / EBITDA	55.3x	9.5x	8.1x	14.1x	20.6x	21.7x

Figure 1. Value per share by case vs. share price



Source: MU valuation model (Final/MU_Valuation_Model_Complete.xlsx).

Figure 2. Growth forever after FY2032E that the share price requires



Source: MU valuation model (Final/MU_Valuation_Model_Complete.xlsx).

1. The peak is real and extraordinary

In the first nine months of FY2026 Micron sold $79.0bn of memory, more than double the whole of FY2025 ($37.4bn), at a 76.6% gross margin. DRAM is 77% of revenue. The two data-centre business units (Cloud Memory and Core Data Center) are 59% of it. High-bandwidth memory (HBM) for AI accelerators uses about three times the wafer area per bit of standard DRAM. So every HBM bit shipped takes supply away from the rest of the market, which is why prices have risen across the board. Including Micron's Q4 guidance of $50.0bn, we estimate FY2026 revenue of $129.0bn and net income of $82.9bn.

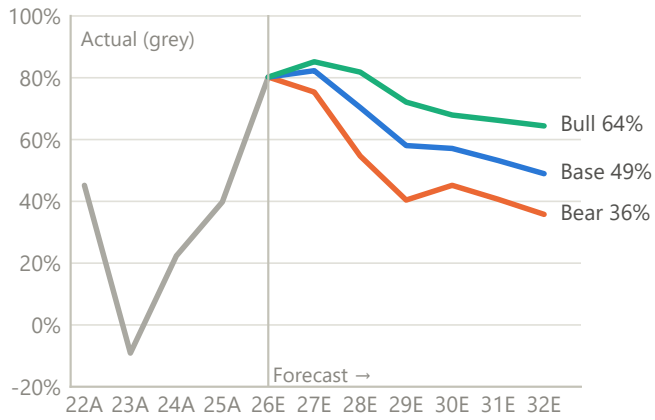
2. Memory has always mean-reverted

Memory chips are close to a commodity: a DRAM bit from Micron, Samsung or SK hynix is largely interchangeable. When prices spike, all three add capacity, and the new fabs arrive together two to three years later. The last cycle shows how quickly the economics turn. Gross margin went from 45% in FY2022 to −9% in FY2023, when DRAM prices fell 48% and NAND prices 52%.

Year	DRAM bits	DRAM price	NAND bits	NAND price	Revenue ($m)	Gross margin
FY2022A	11%	0%	8%	2%	30,758	45.2%
FY2023A	(8%)	(48%)	8%	(52%)	15,540	(9.1%)
FY2024A	45%	12%	32%	32%	25,111	22.4%
FY2025A	15%	42%	18%	0%	37,378	39.8%
9M FY2026	+30%	+140%	+22%	+130%	78,959	76.6%

Source: Micron 10-K filings (bit and price changes are mid-points of management's ranges); 9M FY2026 from the Q3 10-Q (year on year).

Figure 3. Gross margin: history and the three cases



Source: MU valuation model (Final/MU_Valuation_Model_Complete.xlsx).

We do not forecast gross margin directly. It is the result of selling price against cost per bit, and we assume cost per bit falls 8% a year (the industry average; chip shrinks are slowing, and HBM is costlier per bit). That way a case can never have falling prices and rising margins at once. Because FY2026 cost per bit is only about a fifth of selling price, prices must fall about 75% before margins reach past mid-cycle levels. That is why even our Bear case troughs at 36%, not FY2023's −9%.

3. What the share price assumes

At $927.60, Micron's market value is $1,067bn (diluted). Take away the $160bn present value of our Base-case FY2027–FY2032 cash flows, and the price still needs a terminal value of $1,741bn at the end of FY2032. That works out to 11.1% free-cash-flow growth every year forever (more than twice the 4.97% risk-free rate), or a sale in 2032 at 37.7x EBITDA. Micron's median year-end multiple over the last full cycle (FY2021–FY2025) was 7.77x. The market is effectively betting that AI turns memory from a cyclical business into a structural-growth one. History says otherwise, and the Bull case, in which prices keep rising through FY2027 and the correction comes later, is still worth only $515.

Four drivers decide the value, and they change by case

Revenue is built from price times volume for DRAM and NAND separately. Each year's revenue = last year's revenue × (1 + bit growth) × (1 + price change). Capex is a share of revenue, and that share jumps in down years because fabs are planned years ahead. Everything else is one value used in every case: R&D +10% a year, SG&A +8%, tax at the 15% Pillar Two minimum rate, working capital at mid-cycle days (receivables 76, inventory 150, payables 128), and the share count flat at 1,150m (buybacks offset stock compensation). WACC and long-run growth are also kept outside the cases, so the cases show what the operating story alone does to value.

Driver	Case	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E
DRAM price change	Bear	(25%)	(50%)	(30%)	0%	(15%)	(15%)
	Base	5%	(45%)	(35%)	(10%)	(15%)	(15%)
	Bull	25%	(25%)	(40%)	(20%)	(12%)	(12%)
NAND price change	Bear	(30%)	(50%)	(30%)	0%	(15%)	(15%)
	Base	(5%)	(45%)	(35%)	(10%)	(18%)	(18%)
	Bull	15%	(25%)	(40%)	(20%)	(15%)	(15%)
DRAM bit growth	Bear	5%	10%	15%	14%	14%	14%
	Base	10%	15%	16%	15%	15%	15%
	Bull	15%	18%	18%	17%	17%	16%
NAND bit growth	Bear	5%	12%	18%	16%	16%	16%
	Base	10%	15%	20%	18%	18%	18%
	Bull	12%	18%	22%	20%	20%	20%
Capex % of revenue	Bear	30%	45%	45%	40%	40%	40%
	Base	25%	35%	38%	35%	35%	35%
	Bull	22%	28%	32%	30%	30%	30%

Source: model Assumptions tab. History for comparison: DRAM price −48% (FY2023) to +42% (FY2025); capex 33–49% of revenue over FY2022–FY2025 (mid-cycle 41%).

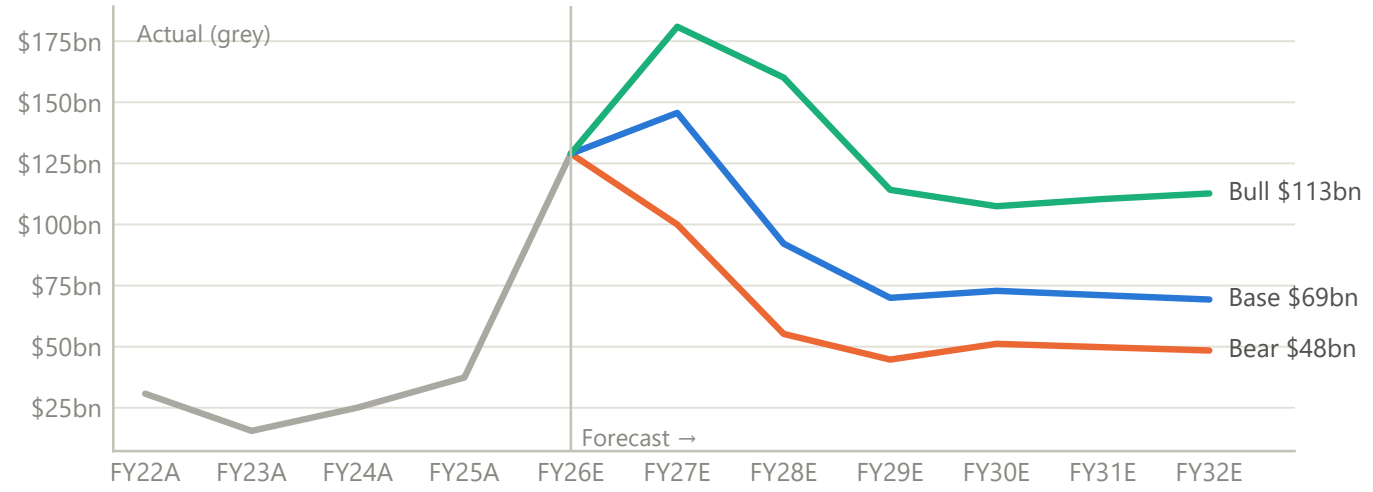
Base. Prices peak going into FY2027 (+5% DRAM: Q4 FY2026 alone is ~39% of the year, so even flat Q4 prices would lift FY2027's average), then one severe down year (FY2028, −45%) and a weak FY2029. After that, normal long-run declines.

Bear. The AI build-out pauses and prices fall from FY2027, with two severe years. Margins end near past mid-cycle.

Bull. HBM keeps supply tight through FY2027 (+25% DRAM price). The correction comes later and ends higher.

Output	Bear	Base	Bull
Revenue, FY2027E ($m)	99,990	145,668	180,921
Revenue, FY2032E ($m)	48,433	69,291	112,696
Gross margin, FY2032E	35.8%	49.0%	64.4%
EBITDA margin, FY2032E	54.8%	66.6%	79.0%
Diluted EPS, FY2032E	$8.04	$22.87	$55.36
Revenue growth a year, FY2026E–32E	(15.1%)	(9.8%)	(2.2%)
Unlevered FCF, FY2027E–32E total ($m)	97,581	203,030	372,614

Figure 4. Revenue: history and the three cases (US$)



Source: MU valuation model (Final/MU_Valuation_Model_Complete.xlsx).

Unlevered free cash flow, Base case (US$ m)

We value the business at the end of FY2026 (3-Sep-2026). FY2026 cash is already on the FY2026E balance sheet, so we discount FY2027–FY2032 and add FY2026E net cash. Cash flows are discounted mid-year; the terminal value is discounted from the end of FY2032.

	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E
NOPAT	95,671	48,303	27,081	27,204	23,188	19,028
+ Depreciation & amortisation	10,893	14,052	16,758	19,154	21,471	23,731
− Net capex (after incentives)	(33,504)	(29,667)	(24,466)	(23,457)	(22,877)	(22,312)
− Increase in working capital	1,191	8,648	3,434	(661)	93	72
Unlevered free cash flow	**74,252**	**41,335**	**22,807**	**22,241**	**21,875**	**20,519**
Reinvestment rate	22.4%	14.4%	15.8%	18.2%	5.7%	(7.8%)
ROIC	85.6%	40.7%	22.0%	21.3%	17.9%	14.9%
Discount factor (mid-year)	0.9430	0.8386	0.7457	0.6631	0.5897	0.5244
Present value	**70,020**	**34,663**	**17,007**	**14,748**	**12,900**	**10,760**

Discount rate: WACC 12.45%

CAPM build	
Risk-free rate (10-year Treasury, 14-Sep-2026)	4.97%
Equity risk premium (Damodaran implied, 1-Sep-2026)	4.14%
Beta: 5-year regression 2.22, Blume-adjusted	1.82
Cost of equity	**12.49%**
Pre-tax cost of debt (BBB yield) × (1 − 15% tax)	5.01%
Weights: equity / debt (market equity, book debt)	99.5% / 0.5%
WACC	**12.45%**
Cross-check: regression beta / industry beta WACC	14.11% / 11.11%

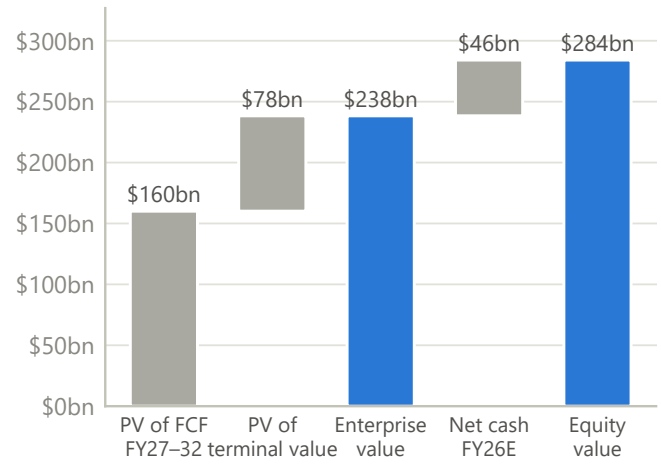
Debt is only 0.5% of capital, so WACC ≈ cost of equity, and beta is the number that matters. We use the Blume adjustment (⅔ × regression + ⅓ × 1.0) because one five-year regression is inflated by the AI run-up. Micron sits above the semiconductor average (Damodaran, January 2026: beta 1.52) because memory is more cyclical than chips as a whole.

Terminal value and value per share

	Perpetuity growth	Exit multiple
PV of FCF, FY2027E–FY2032E	160,098	160,098
Terminal value at end-FY2032E	158,277	358,324
PV of terminal value	78,268	177,190
Enterprise value	**238,366**	**337,289**
+ Cash and investments − debt (FY2026E)	45,796	45,796
Equity value	**284,162**	**383,085**
Value per share (1,150m diluted)	**$247.10**	**$333.12**
Terminal value as % of EV	32.8%	52.5%
Implied EV/EBITDA · implied growth	3.43x · 0.97%	7.77x · 6.36%

Long-run growth is computed, not chosen. Growth = reinvestment rate × return on that reinvestment, both averaged over FY2030E–FY2032E: 5.36% × 18.03% = 0.97%, capped at the 4.97% Treasury yield. The FY2033 cash flow is NOPAT grown at g, minus the reinvestment that growth needs. The exit multiple is Micron's own FY2021–FY2025 median year-end EV/EBITDA (7.77x), so today's peak multiple is not carried into 2032.

Figure 5. Enterprise value to equity value, Base case



Source: MU valuation model (Final/MU_Valuation_Model_Complete.xlsx).

Where the value comes from

FY2027E, the peak year, is worth $70bn on its own, 29% of Base enterprise value. The five years after it add $90bn and everything beyond FY2032 adds $78bn. Net cash of $46bn takes equity value to $284bn, or $247.10 a share on 1,150m diluted shares.

Against a market value of $1,067bn, the Base case explains about 27% of the price. The rest is the market's bet that today's margins last.

Three cases, one probability-weighted target

	Bear	Base	Bull	Weighted
Value per share: perpetuity growth	$127.24	$247.10	$515.09	$284.13
Value per share: exit multiple	$198.21	$333.12	$582.57	$361.75
Upside / (downside), perpetuity	(86.3%)	(73.4%)	(44.5%)	(69.4%)
Enterprise value ($m)	100,530	238,366	546,556	280,954
Equity value ($m)	146,327	284,162	592,352	326,751
Terminal value % of EV	20.2%	32.8%	48.4%	–
Long-run growth g (computed)	(1.11%)	0.97%	3.49%	–
Implied EV / FY2027E EBITDA	1.3x	1.9x	3.5x	–
Probability weight	**25%**	**50%**	**25%**	**100%**

The target price is the probability-weighted perpetuity-growth value, $284.13. Weighting the exit-multiple values instead gives $361.75. Our rating rule is Buy above +15% to target, Sell below −15%. At 69.4% downside the call is not close: holding Bear and Base fixed, the Bull case would need to be worth $3,089, 6.0 times its $515, for the weighted value to reach the price.

Value per share: WACC vs. long-run growth (Base)

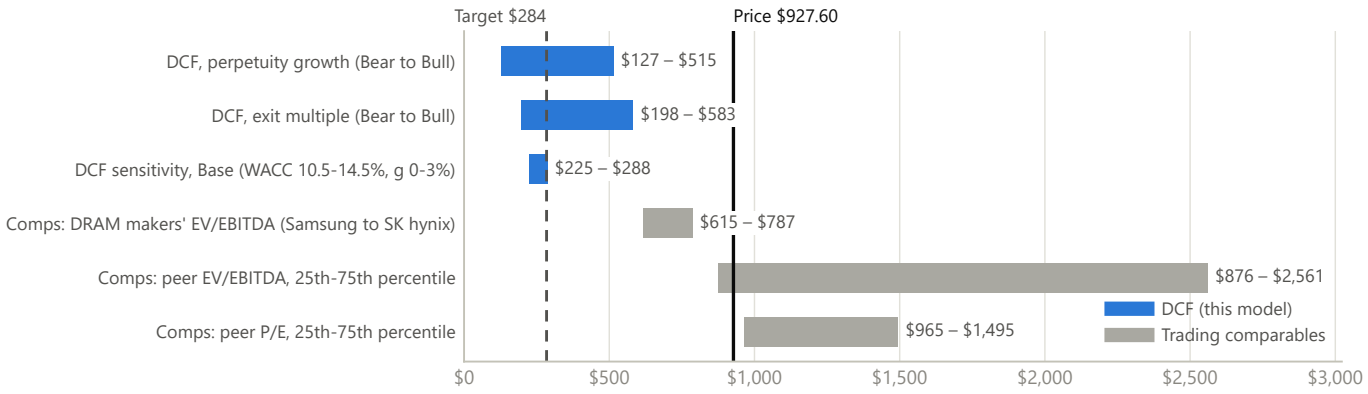
WACC \ g	0.00%	0.50%	0.97%	2.00%	3.00%
10.50%	$270	$273	$275	$281	$288
11.50%	$256	$258	$259	$263	$268
12.45%	$245	$246	**$247**	$250	$253
13.50%	$234	$235	$236	$238	$240
14.50%	$225	$226	$226	$228	$229

Value per share: WACC vs. exit multiple (Base)

WACC \ x	5.00x	6.50x	7.77x	10.00x	13.00x
10.50%	$294	$327	$355	$404	$470
11.50%	$286	$317	$343	$390	$453
12.45%	$278	$308	**$333**	$377	$437
13.50%	$270	$299	$322	$364	$421
14.50%	$263	$290	$313	$352	$406

Shaded = the DCF answer. The valuation is not very sensitive to the discount rate or the terminal assumptions: across WACC 10.5–14.5% and growth 0–3%, Base value stays between $225 and $288. Only a third of Base value sits beyond 2032, so the answer is driven by the operating path (how long prices stay high), not by valuation mechanics.

Figure 6. Valuation range vs. share price and target



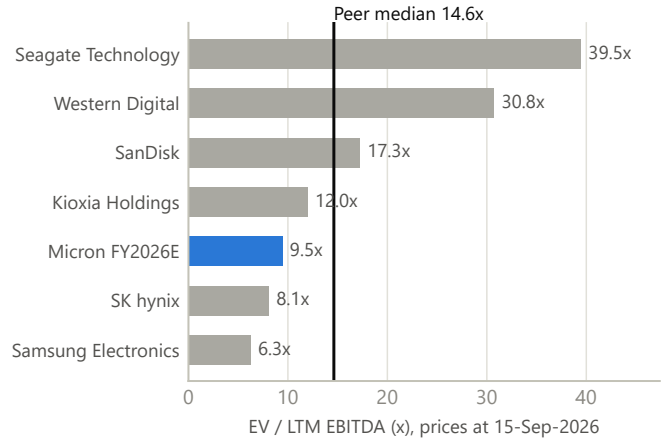
Source: MU valuation model. Comparables apply peer multiples to Micron FY2026E EBITDA or net income, plus FY2026E net cash.

On peak-cycle earnings the peer median makes Micron look cheap. The DRAM makers do not.

Company	Market cap	EV	LTM EBITDA	EBITDA margin	EV / Sales	EV / EBITDA	P / E	P / B
Samsung Electronics (005930.KS)	$1,166bn	$1,043bn	$166.8bn	47%	2.9x	6.3x	12.2x	2.7x
SK hynix (000660.KS)	$905bn	$855bn	$105.4bn	76%	6.2x	8.1x	7.4x	4.7x
Western Digital (WDC)	$154bn	$154bn	$5.0bn	39%	11.9x	30.8x	17.0x	17.4x
SanDisk (SNDK)	$224bn	$218bn	$12.6bn	62%	10.8x	17.3x	20.8x	14.2x
Kioxia Holdings (285A.T)	$183bn	$183bn	$15.3bn	63%	7.6x	12.0x	20.7x	11.8x
Seagate Technology (STX)	$176bn	$178bn	$4.5bn	37%	14.6x	39.5x	55.5x	80.9x
Median (6 memory and storage peers)				**55%**	**9.2x**	**14.6x**	**18.8x**	**13.0x**
25th percentile				41%	6.5x	9.1x	13.4x	6.5x
75th percentile				63%	11.6x	27.4x	20.7x	16.6x
DRAM makers only: Samsung, SK hynix				61%	4.5x	7.2x	9.8x	3.7x
Reference only (not in median)								
Intel (INTC)	$510bn	$531bn	$16.8bn	30%	9.3x	31.5x	n.m.	4.9x
Texas Instruments (TXN)	$241bn	$248bn	$9.5bn	49%	12.7x	26.0x	40.0x	13.4x
Micron at the same price								
Micron trailing, FY2025	$1,048bn	$1,002bn	$18.1bn	48%	26.8x	55.3x	122.2x	19.3x
Micron current, FY2026E	$1,048bn	$1,002bn	$105.9bn	82%	7.8x	9.5x	12.9x	7.7x
Micron forward, FY2027E (live case)	$1,048bn	$1,002bn	$123.4bn	85%	6.9x	8.1x	11.0x	4.5x

Source: stockanalysis.com (prices at 15-Sep-2026 close; LTM to June 2026), FRED H.10 FX (KRW 1,361.84, JPY 155.11 per US$); MU model. Samsung shares include preferred stock at the common price. Kioxia per-share figures adjusted for its 29-Sep-2026 3-for-1 split.

Figure 7. EV / EBITDA: peers vs. Micron



Source: Comps tab. Micron on FY2026E EBITDA; peers on LTM to June 2026.

What peer multiples imply for Micron

Method (applied to FY2026E)	Multiple	Per share	vs. price
EV / EBITDA: peer median x FY2026E EBITDA	14.6x	$1,386.03	49.4%
EV / EBITDA: DRAM makers' average x FY2026E EBITDA	7.2x	$701.03	(24.4%)
P / E: peer median x FY2026E net income	18.8x	$1,358.23	46.4%
P / B: peer median x FY2026E book equity	13.0x	$1,542.61	66.3%
DCF base case (perpetuity growth), for comparison		$247.10	(73.4%)

A straight peer-median read says Micron is cheap: 14.6x EV/EBITDA on FY2026E gives $1,386 a share. We do not lean on it, for two reasons. (1) Every peer is being valued on the same peak: their LTM margins (55% median) are at or near records, so the multiples are no guide to value through a cycle. (2) The US storage names (Seagate, Western Digital, SanDisk) are priced on a separate hard-drive and flash story at 17–40x. The closest DRAM peers, Samsung and SK hynix, trade at 7.2x. On Micron's FY2026E that is $701 a share, still 24% below the price.

Micron's own FY2026E multiples (9.5x EV/EBITDA, 12.9x P/E) look modest only because FY2026 earnings are 10 times FY2025's. On FY2025 earnings, at the same price, they are 55x and 122x.

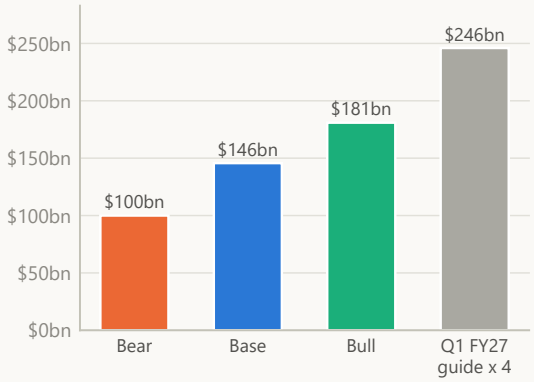
Subsequent events: Q4 FY2026 results (reported 30-Sep-2026, after our pricing date)

	Our estimate	Actual / guidance	Difference
FY2026 revenue	$129.0bn	$133.2bn	3.3%
Q4 FY2026 revenue	$50.0bn	$54.2bn	8.5%
FY2026 net income	$82.9bn	$85.0bn	2.5%
FY2026 diluted EPS	$72.06	$74.33	3.1%
FY2026 net capex	$27.0bn	$27.4bn	1.4%
Q1 FY2027 revenue guidance (one quarter)	–	$61.5bn ± $1.5bn	42.2% of our FY2027E

FY2026 came in close to our estimate (revenue 3.3%, EPS 3.1%). The guidance matters more. $61.5bn for Q1 FY2027 at a ~86% gross margin, with management expecting revenue to grow every quarter, puts FY2027 well above our Base ($146bn) and Bull ($181bn) cases. **Our near-term numbers are too low.**

Does it change the call? Not on its own. At the Base case's FY2027 cash conversion (51% of revenue), each extra $100bn of FY2027 revenue adds about $42 a share. Even a $250bn FY2027 would lift the Base value to about $291. To reach $928 the boom has to last for years, not quarters. The shares closed at $1,065.11 on results day and at $878.84 on 16-Oct-2026. The model is kept at its 3-Sep-2026 valuation date and 15-Sep-2026 price; these figures are not in it.

Figure 8. FY2027 revenue: our cases vs. Q1 FY2027 guidance × 4



Source: MU model; Micron press release, 30-Sep-2026 (Q1 FY2027 guidance $61.5bn ± $1.5bn).

Risks to our SELL rating (upside)

- **The AI build-out lasts longer.** If HBM demand keeps supply tight into FY2028–FY2029, the correction in our Base case moves out and margins stay high for longer. This is the risk the latest guidance points to.
- **Supply discipline.** Three companies make almost all DRAM. If Samsung, SK hynix and Micron hold back capacity, the next downturn could be shallower than FY2023.
- **Capital returns.** Our model assumes buybacks only offset stock compensation, so cash builds to $272bn by FY2032. The DCF already counts that cash through free cash flow, but large buybacks could support the share price.
- **Lower discount rate.** Even at a 10.5% WACC (below the 11.11% that the industry beta gives), Base value rises only about $28 a share. The gap to the price is not about the discount rate.

Risks in the other direction (downside)

- **A faster, deeper price fall.** In the Bear case prices fall from FY2027 and value is $127. FY2023 showed DRAM prices can halve in a year.
- **New capacity.** Fabs started during the shortage, including new Chinese DRAM capacity, arrive in two to three years, all at once.
- **Customer inventory.** Shortages encourage double-ordering. When lead times shorten, customers live off inventory and orders fall faster than end demand.

What to watch

- DRAM and HBM contract prices, and HBM4 qualification at the main AI accelerator customers.
- FY2027 capex guidance from Micron, Samsung and SK hynix: rising capex is the first sign of the next downturn.
- Micron's inventory days (FY2026E 126 against a mid-cycle 157) and receivables, which rose sharply in FY2026.

Summary financial statements, Base case

US$ m, Base case	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E	FY32E
Revenue	37,378	128,959	145,668	92,135	69,982	72,846	69,291
Cost of goods sold	(22,505)	(25,502)	(25,808)	(27,305)	(29,355)	(31,235)	(35,372)
Gross profit	**14,873**	**103,457**	**119,860**	**64,830**	**40,627**	**41,611**	**33,919**
Operating expenses	(5,103)	(6,728)	(7,305)	(8,003)	(8,768)	(9,606)	(11,533)
Operating income	**9,770**	**96,729**	**112,554**	**56,827**	**31,860**	**32,005**	**22,386**
Interest income	496	724	1,803	4,424	5,968	6,908	8,799
Interest expense	(477)	(106)	(248)	(248)	(248)	(248)	(238)
Income tax	(1,124)	(13,926)	(17,116)	(9,150)	(5,637)	(5,800)	(4,642)
Net income	**8,539**	**82,875**	**96,993**	**51,852**	**31,943**	**32,865**	**26,306**
Diluted EPS	$7.59	$72.06	$84.34	$45.09	$27.78	$28.58	$22.87
Dividends per share	$0.46	$0.53	$0.60	$0.66	$0.73	$0.80	$0.97

US$ m, Base case	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E	FY32E
Cash from operations	17,525	77,968	110,474	76,089	53,825	53,217	52,358
Capital expenditures	(15,857)	(30,985)	(36,417)	(32,247)	(26,593)	(25,496)	(24,252)
Government incentives	2,005	3,985	2,913	2,580	2,127	2,040	1,940
Cash from investing	(14,087)	(30,075)	(33,504)	(29,667)	(24,466)	(23,457)	(22,312)
Buybacks	0	(1,728)	(1,397)	(1,537)	(1,690)	(1,859)	(2,250)
Dividends	(522)	(610)	(690)	(759)	(835)	(918)	(1,111)
Ending cash	**9,646**	**46,412**	**121,296**	**165,422**	**192,257**	**219,240**	**271,997**

US$ m, Base case	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E	FY32E
Cash and equivalents	9,642	46,385	121,269	165,395	192,230	219,213	271,970
Receivables	9,265	37,899	30,331	19,184	14,572	15,168	14,428
Inventories	8,355	8,832	10,606	11,221	12,064	12,836	14,536
Property, plant and equipment	46,590	64,526	87,136	102,752	110,459	114,761	114,748
Total assets	**82,798**	**170,776**	**262,379**	**311,651**	**342,506**	**375,238**	**429,111**
Total debt	14,577	5,722	5,722	5,722	5,722	5,722	4,465
Total liabilities	28,633	34,618	29,918	28,096	27,844	28,629	28,667
Shareholders' equity	**54,165**	**136,158**	**232,461**	**283,554**	**314,662**	**346,609**	**400,445**
Balance check	0	0	0	0	0	0	0

How the model is built

- **Data.** FY2021–FY2025 10-Ks and the FY2026 Q1–Q3 10-Qs, entered as reported and tied out (balance sheet, net income, revenue by product all check to zero).
- **Bridge year.** FY2026E = nine months reported + Q4 from management's guidance (revenue $50.0bn, gross margin 86%).
- **Schedules.** Revenue (price × bits by product), costs (cost per bit), PP&E (depreciation by year of purchase), working capital (days), tax, debt (revolver, notes, leases) and equity feed a three-statement model that balances in every year and every case.
- **Cases.** One switch changes four drivers. Each case was recorded by flipping the switch, and the Checks tab confirms the recorded values still match the live model.
- **Verification.** All three cases were recomputed independently outside Excel and matched to four decimal places.

Sources

- Micron 10-K (FY2021–FY2025), 10-Q (Q1–Q3 FY2026), earnings 8-K (24-Jun-2026), press release (30-Sep-2026), SEC EDGAR.
- Share price, beta, peer data: stockanalysis.com (15-Sep-2026). EV/EBITDA history: stockanalysis.com financial ratios.
- Risk-free rate: FRED DGS10. Cost of debt: FRED ICE BofA BBB yield. FX: FRED H.10.
- Equity risk premium and industry beta: Damodaran, NYU Stern (Sep-2026 and Jan-2026 data).

This report is a personal research project prepared for educational purposes by Siddhanth Balakrishnan. It is not investment advice or a recommendation to buy or sell any security, and it is not affiliated with Micron Technology or any broker. The model and its assumptions are the author's own; figures may contain errors.